

1 DEVELOPMENT OF THE PIERER MOBILITY GROUP

1.1 THE COMPANY

PIERER Mobility AG is the holding company of KTM AG, one of Europe's leading motorcycle manufacturers. With a focus on the premium segment, the company combines brands such as KTM, Husqvarna and GASGAS under one roof. The premium brand range also includes the high-performance components of the WP brand and the special KTM X-BOW high-performance sports cars. Husqvarna and GASGAS electric bicycles as well as bicycles of the Felt brand complement the two-wheeler range of the PIERER Mobility Group (the "Group").

The shares of PIERER Mobility AG are primarily listed in the "Swiss Performance Index (SPI)" of the SIX Swiss Exchange in Zurich and are also listed in the prime market segment of the Vienna Stock Exchange.

1.2 RESTRUCTURING PROCEEDINGS KTM AG, KTM COMPONENTS GMBH AND KTM FORSCHUNGS & ENTWICKLUNGS GMBH

SITUATION AND STATUS OF THE RESTRUCTURING PROCEDURES

KTM AG is a 100% subsidiary of PIERER Mobility AG and was responsible for more than 95% of the PIERER Mobility Group's revenue in H1 2024.

In November 2024, in the course of liquidity planning for the 2025 financial year, it became clear that KTM had to cover significant additional liquidity requirements. Despite intensive efforts to resolve the situation out of court together with creditors and lenders, on November 29th, a court "restructuring procedure with self-administration" was filed over the assets of KTM AG and its subsidiaries KTM Components GmbH and KTM Forschungs & Entwicklungs GmbH. The aim of the proceedings was to agree on a restructuring plan with the creditors within the time frame provided for by law, specifically by February 25, 2025, and to continue the KTM Group after approval and fulfilment of this plan.

In addition to negotiations with creditors, the Group initiated a series of measures to reduce costs in the short term and redimension production in Austria in the long term. It was decided to interrupt production in Mattighofen/Munderfing from December 13, 2024 to March 2025 and then to continue in one-shift operation (previously in two-shift operation). This measure was accompanied by a further reduction in staff and a temporary (for the period of the interruption of production) reduction in working hours from the standard 38.5 hours per week to 30 hours per week. In addition to short-term cost reductions, this measure supported the accelerated reduction of high inventories. Further information on the measures initiated in the course of the restructuring process can be found in the chapter "Events after the accounting date".

The creditors accepted the restructuring plans of the three companies on February 25, 2025. A cash ratio of 30% has been agreed with the creditors of KTM AG, which had to be deposited with the restructuring administrator by May 23, 2025. The court is expected to confirm the restructuring plans in June 2025. After the legal entry into force, the restructuring proceedings of KTM AG as well as the two subsidiaries have come to an end.

The accounting in the notes to the consolidated financial statements and the reporting in the following Group management report were unchanged under the assumption that KTM would continue to operate. This assessment is based on current findings and developments in connection with the restructuring procedure. In principle, the restructuring procedure is therefore not accompanied by any change in the accounting principles applied and in accounting and valuation policies.

7 DISCLOSURES PURSUANT TO SECTION 243A (PARA 1) UGB

1. The share capital amounts to EUR 33,796,535 and is divided into 33,796,535 no-par value bearer shares. Each no-par value share grants the same share in the share capital and the ordinary shareholder rights in accordance with the Austrian Stock Corporation Act. These include the right to pay the dividend resolved at the Annual General Meeting and the right to exercise voting rights at the Annual General Meeting. Since November 14, 2016, all shares of PIERER Mobility AG have been listed on the SIX Swiss Exchange (SIX) in the International Reporting Standard (ISIN AT0000KTM102). Since March 1, 2022, the shares have also been listed on the Vienna Stock Exchange (official trading). There was no change in the share capital in the 2024 financial year. Since PIERER Mobility AG did not acquire or sell any of its own shares, the company did not hold any treasury shares as of December 31, 2024.
2. A syndicate agreement (the "Syndicate Agreement 2021") has been in place since 29 September 2021 between Pierer Konzerngesellschaft mbH, Pierer Industrie AG and Pierer Bajaj AG on the one hand (the "Pierer Group") and Bajaj Auto Ltd. and Bajaj Auto International Holdings B.V. on the other hand (the "Bajaj Group"). This agreement regulates the rights and obligations of the two groups of companies with regard to the participation of Pierer Industrie AG and Bajaj Auto International Holdings B.V. in Pierer Bajaj AG as the majority shareholder of PIERER Mobility AG. The 2021 syndicate agreement stipulates that any transfer of ownership of shares in PIERER Mobility AG will require the approval of the Supervisory Board members of Pierer Bajaj AG nominated by Bajaj. Pierer Bajaj AG, which is economically attributable to DI Stefan Pierer, is therefore subject to restrictions on the sale of shares in PIERER Mobility AG. The Management Board is not aware of any other restrictions concerning voting rights or the transfer of shares.
3. To the knowledge of the Company, as of December 31, 2024, the following shareholding in the capital of PIERER Mobility AG amounted to at least 10 per cent:
 - Pierer Bajaj AG: 74.94% (direct participation);
 - Pierer Konzerngesellschaft mbH: 0.09% (direct participation) and 74.94% (indirect participation).
4. There are no shares with special control rights.
5. There are currently no employee participation models.
6. There are no provisions going beyond the law with regard to the appointment and dismissal of the members of the Management Board and the Supervisory Board and the amendment of the Articles of Association.
7. Ways to issue or buy back shares:

In a first step, the possibilities that were in place on the cut-off date of December 31, 2024 are presented. The changes to the instruments mentioned after the balance sheet date are described at the end of this item (see also the chapter on events after the balance sheet date):

Due to the authorization granted by the Annual General Meeting on April 29, 2022 and the amendment to the Articles of Association adopted at the same time, the Company's Articles of Association contain the following provision as Section 5 "Authorized Capital":

- a) In accordance with Section 169 of the German Stock Corporation Act (AktG), the Management Board is authorized, with the consent of the Supervisory Board, to increase the Company's share capital of EUR 33,796,535.00 by 29.04.2027, if necessary in several tranches, against cash and/or non-cash contributions of up to EUR 16,898,267.00 by issuing up to 16,898,267 no-par value bearer shares to up to EUR 50,694,802.00 and to determine the issue price as

original seller, Pierer Konzerngesellschaft mbH, on 3 January 2025. The purchase price corresponded to the original purchase price by KTM AG (EUR 10,879 thousand). There was no need for a write-down in accordance with IFRS 5, as the carrying amount of the financial asset (EUR 10,704 thousand) is below the fair value (EUR 10,879 thousand) due to the losses of PIERER IMMOREAL GmbH assumed proportionately using the at-equity method. At the same time, financial receivables against PIERER IMMOREAL GmbH in the amount of EUR 24,689 thousand were classified as held for sale, as they were acquired together with the shares in October 2024 and finally sold again together with the shares in January 2025.

MV Agusta

The shares in MV Agusta Motor S.p.A., Varese, Italy, as well as the shares in the other MV Agusta companies of the KTM Group, were also the subject of ongoing negotiations on their sale as of the balance sheet date of December 31, 2024. The sale was considered highly likely as of the balance sheet date, PIERER Mobility AG finally announced on January 31, 2025, that a corresponding agreement had been reached with the previous minority shareholder of MV Agusta Motor S.p.A., Art of Mobility S.A. The sale is expected to be completed in the first half of 2025. The sale agreement covers the following companies and their assets and liabilities, which are grouped together in a disposal group:

- MV Agusta Motorcycles GmbH, Mattighofen, Austria;
- MV Agusta Services S.r.l., Meran, Italian;
- MV Agusta Motorcycles North America, Inc., Murrieta, CA, USA;
- MV Agusta Motor S.p.A., Varese, Italy;
- MV Agusta S.r.l. Style Center, Borgo Maggiore, San Marino;
- MV Agusta USA LLC, Pennsylvania, United States.

In this disposal group, impairment losses were incurred on capitalized goodwill (EUR 76,283 thousand, see also Note 9 "Changes in the scope of consolidation") and on property, plant and equipment and intangible assets to the lower of their carrying amount and fair value less costs to sell (EUR 71,028 thousand), which were recognized under impairment losses in accordance with IFRS 5. As a result, the depreciable fixed assets of the above-mentioned companies were devalued to zero. No cumulative income or expenses related to the disposal group are included in other comprehensive income.

The assets and related liabilities of the "MV Agusta" disposal group as of December 31, 2024 can be found in the introductory table above. The cash and cash equivalents included in the disposal group represent a reconciliation item to the cash ending balance determined in the cash flow statement.

34. CONSOLIDATED EQUITY

The development of consolidated equity in the 2024 financial year and in the 2023 financial year is presented in Appendix I/7.

The Company's **share capital amounts to EUR 33,796,535** and is divided into **33,796,535 no-par value bearer shares**, each of which represents an equal shareholding in the share capital. The shares grant the ordinary rights to which shareholders are entitled under the Austrian Stock Corporation Act. These include the right to payout the dividends resolved at the Annual General Meeting and the right to exercise voting rights at the Annual General Meeting. All shares were paid up in full. The share capital reported in the consolidated financial statements corresponds to the share capital reported in the individual financial statements of PIERER Mobility AG.

The IFRS 9 reserve includes the **cash flow hedge reserve**. The cash flow hedge reserve comprises the effective portion of the cumulative net changes in the fair value of hedging instruments used to hedge cash

X. EXPLANATORY NOTES ON RELATED PARTIES AND ON THE EXECUTIVE BODIES

47. RELATED PARTY DISCLOSURES

According to the requirements of IAS 24, disclosures must be made about related party transactions.

As of December 31, 2024, 74.94% of the shares of PIERER Mobility AG are held by Pierer Bajaj AG, which is 50.10% owned by Pierer Industrie AG. The remaining 49.9% is held by Bajaj Auto International Holdings B.V., a subsidiary of Bajaj Auto Ltd. Furthermore, Pierer Konzerngesellschaft mbH holds 0.09% of the shares in PIERER Mobility AG. Pierer Industrie AG is 100.00% owned by Pierer Konzerngesellschaft mbH. The sole shareholder of Pierer Konzerngesellschaft mbH is Dipl.-Ing. Stefan Pierer.

Dipl.-Ing. Stefan Pierer held the following key executive functions in the Pierer Konzerngesellschaft mbH Group as of December 31, 2024:

- Chairman of the Board of Pierer Industrie AG, Wels
- Chairman of the Board of Pierer Bajaj AG, Wels
- Member of the Board of Directors of PIERER Mobility AG, Wels
- Member of the Board of Management of KTM AG, Mattighofen
- Chairman of the Supervisory Board of Pankl AG, Kapfenberg
- Chairman of the Supervisory Board of Pankl Racing Systems AG, Kapfenberg
- Member of the Supervisory Board of SHW AG, Aalen, Germany

Transactions with related parties are grouped in the PIERER Mobility Group according to "Shareholders", "Associated Companies" and "Other Companies".

Until the financial year 2024 PIERER Mobility AG was included in its consolidated financial statements by PIERER Industrie AG, Wels, and Pierer Konzerngesellschaft mbH, Wels. All companies included in the consolidated financial statements of Pierer Konzerngesellschaft mbH that are controlled or significantly influenced by Pierer Konzerngesellschaft mbH are reported as related parties in the "Related parties" category.

Associates can be found in the statement of participations (see Chapter XII) and relate to all financial assets accounted for using the equity method.

Other companies are defined as all companies that are controlled by key management. In principle, PIERER Mobility AG defines key management as members of the Management Board and Supervisory Board and, if applicable, other managers in key positions who can exert a significant influence on the Group's financial and business policy decisions. In addition, family members of key management and their companies are also taken into account.

In the 2024 financial year and in the previous year, there were no material transactions with related parties (except for the remuneration of the Management Board and the Supervisory Board, see item 49). The transactions with related parties are as follows according to the grouping described:

XII. GROUP COMPANIES (SCHEDULE OF EQUITY HOLDINGS)

The list of shareholdings includes all companies that have been included in the consolidated financial statements in addition to the parent companies.

Society	First conso- Song time	12/31/24	12/31/23		
		Percentage %	Consolida- tion- Type of	Percentage %	Consolida- tion- Type of
Fully consolidated companies:					
KTM AG, Mattighofen	5/31/2005	100.00	KVI	100.00	KVI
KTM Immobilien GmbH, Mattighofen	5/31/2005	100.00	KVI	100.00	KVI
KTM North America, Inc., Murrieta, CA, USA	5/31/2005	100.00	KVA	100.00	KVA
KTM-Motorsports Inc., Murrieta, CA, USA	5/31/2005	100.00	KVA	100.00	KVA
KTM Japan K.K., Tokyo, Japan	5/31/2005	100.00	KVA	100.00	KVA
KTM Sportcar GmbH, Mattighofen	5/31/2005	100.00	KVI	100.00	KVI
KTM Motorcycles S.A. Pty. Ltd., Midrand, South Africa	3/1/2009	100.00	KVA	100.00	KVA
KTM Sportmotorcycle Mexico C.V. de S.A., Lerma, Mexiko	6/1/2009	100.00	KVA	100.00	KVA
KTM Sportmotorcycle GmbH, Mattighofen	3/31/2011	100.00	KVI	100.00	KVI
PIERER New Mobility Scandinavia AB, Örebro, Sweden	12/31/2013	-	-	100.00	KVA
KTM-Sportmotorcycle India Private Limited, Pune, Indien	6/1/2012	100.00	KVA	100.00	KVA
Husqvarna Mobility Motorcycles GmbH (formerly: Husqvarna Motorcycles GmbH), Mattighofen	1/1/2013	100.00	KVI	100.00	KVI
KTM Sportmotorcycle Deutschland GmbH, Ursen-sollen, Deutschland	12/31/2013	100.00	KVA	100.00	KVA
KTM Switzerland Ltd., Frauenfeld, Schweiz	12/31/2013	100.00	KVA	100.00	KVA
KTM Sportmotorcycle UK Ltd., Northamptonshire, Great Britain	12/31/2013	100.00	KVA	100.00	KVA
KTM-Sportmotorcycle Espana S.L., Terrassa, Span-ien	12/31/2013	100.00	KVA	100.00	KVA
KTM Sportmotorcycle France SAS, Saint-Priest, Frankreich	12/31/2013	100.00	KVA	100.00	KVA
KTM Sportmotorcycle Italia S.r.l., Meran, Italien	12/31/2013	100.00	KVA	100.00	KVA
KTM-Sportmotorcycle Nederland B.V., Malden, Netherlands	12/31/2013	100.00	KVA	100.00	KVA
KTM Sportmotorcycle Scandinavia AB, Örebro, Schweden	12/31/2013	100.00	KVA	100.00	KVA
KTM Sportmotorcycle Benelux S.A., Gembloux, Bel-gium	12/31/2013	100.00	KVA	100.00	KVA
KTM Canada Inc., Chambly, Kanada	12/31/2013	100.00	KVA	100.00	KVA